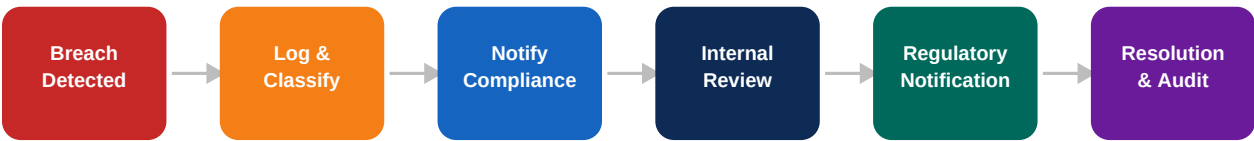


Regulatory Compliance & Financial Governance Policy

Finance Risk & Investment Intelligence System Doc
Ref: FRIIS-DOC-003 | v1.0 | 2025

This policy establishes compliance requirements, regulatory obligations, governance controls, and escalation procedures for all investment activities. Compliance is mandatory. Regulatory breaches must be reported within the timeframes defined in Section 5.

Regulatory Breach Escalation Flow



1. Key Regulatory Frameworks by Jurisdiction

The system must flag investments violating jurisdiction-specific regulations. The following frameworks are applicable across managed portfolios:

Regulation	Jurisdiction	Applicable To	Key Requirements	Review
MiFID II	European Union	All EU-domiciled funds	Best execution, suitability, product governance	Annual
Dodd-Frank Act	United States	US-registered entities	Swap reporting, position limits, Volcker Rule	Quarterly
UCITS Directive	EU / Global	Retail-facing fund structures	Diversification, risk limits, liquidity rules	Monthly
SEBI Regulations	India	India-domiciled portfolios	Disclosure norms, insider trading prevention	Monthly
Basel III / IV	Global (Banks)	Bank-affiliated investment capital	Capital adequacy, RWA, LCR, NSFR ratios	Quarterly
AIFMD	European Union	Alternative investment funds	Risk reporting, leverage limits, depositaries	Semi-annual
FCA Handbook	United Kingdom	UK-registered entities	Conduct rules, SYSC, client asset protection	Annual
FATF Guidelines	Global — All	All portfolios without exception	Anti-Money Laundering, KYC, sanctions screening	Ongoing

2. Regulatory Disclosure Obligations

Timely disclosure is a core regulatory obligation. Failure to disclose material information within required timeframes may result in regulatory sanctions and reputational damage:

- **Material Portfolio Changes:** Changes representing >5% of NAV must be disclosed to the regulator within 24 hours.
- **Quarterly Performance Reports:** Audited performance reports must be submitted to the regulatory authority each quarter.
- **Major Shareholding Threshold:** Equity holdings reaching or exceeding 5% in any listed company trigger public disclosure obligations.
- **Related-Party Transactions:** All transactions with affiliated entities must be pre-cleared by the Compliance Officer before execution.
- **Short Position Reporting:** Net short positions exceeding 0.2% of issued share capital must be reported under applicable rules.
- **Risk Model Changes:** Material changes to risk models or key parameters require written regulatory pre-notification.
- **ESG Disclosures:** Funds marketed as ESG-compliant must publish annual sustainability reports under SFDR or equivalent.
- **Beneficial Ownership:** Beneficial ownership registers must be maintained and available to regulators on request at all times.

3. Risk Reporting Requirements

Report Type	Frequency	Recipient	Format	Retention
Portfolio Risk Summary	Daily (internal)	Risk Manager, PM	Dashboard + PDF	3 years
Regulatory Capital Report	Quarterly	Board + Regulator	Structured XML/XBRL	10 years
Stress Test Results	Monthly	CRO + Risk Committee	PDF Report	7 years
Breach Notification	As required	Compliance + Regulator	Secure Email + Log	Permanent
Annual Governance Review	Annual	Board of Directors	Formal Annual Report	Permanent
AML/KYC Screening Log	Ongoing / flagged events	Compliance Officer	System Log	5 years (FATF)
Liquidity Risk Report	Monthly	CRO + Finance	PDF + Data File	5 years

4. Financial Governance & Approval Hierarchy

The four-eyes principle is applied to all investment decisions above defined thresholds. Every decision must be documented, approved at the appropriate level, and logged with full audit trail:

Decision Level	Threshold	Required Approvers	Documentation	SLA	Audit Trail
Standard	< \$1M	Portfolio Manager	Trade ticket + rationale	Same day	System auto-log
Elevated	\$1M – \$10M	PM + Risk Manager	Risk note + assessment	24 hours	Signed approval form
Senior	\$10M – \$50M	PM + RM + Inv. Committee	Full investment memo	48 hours	Committee minutes
Board Level	> \$50M	Full Board Approval	Board paper + legal review	5 business days	Board resolution
Emergency	Any (crisis)	CIO + Risk + Compliance	Crisis brief + rationale	4 hours	Emergency incident log

5. Escalation Procedures for Regulatory Breaches

All regulatory breaches must follow the structured escalation path. No corrective action may be taken prior to Compliance Officer notification:

Breach Type	Severity	Initial Action	Escalation Path	Regulatory Notification
Position limit breach	Medium	Halt new trades; log event	PM → Risk Mgr → Compliance	Within 24 hours if material
Disclosure deadline missed	High	File late disclosure immediately	PM → Compliance → Legal	Immediate notification required
AML/KYC failure	Critical	Freeze account; suspend trading	Compliance → Legal → Regulator	Within 2 hours
Capital adequacy breach	Critical	Emergency capital review	CRO → Board → Regulator	Same business day
Insider trading suspicion	Critical	Immediate trading halt	Compliance → Legal → Regulator	Immediate notification
Sanctions violation	Critical	Block counterparty; escalate	Compliance → Legal → Regulator	Within 1 hour maximum

6. Internal Audit & Compliance Review Framework

Internal audits validate policy adherence and identify control gaps. The compliance review calendar must be maintained by the Compliance Officer and shared with the Board Risk Committee:

Review Type	Scope	Conducted By	Frequency	Output
Trade Compliance Check	All trades > \$500K vs policy limits	Risk Manager	Daily	Exception report
Portfolio Limit Audit	All limit breaches in prior month	Compliance Officer	Monthly	Audit log + summary
Regulatory Filing Review	All regulatory submissions	External Auditor	Quarterly	Audit opinion letter
Governance Control Assessment	Policy adherence review	Internal Audit Team	Semi-annual	Formal audit report
Annual Regulatory Examination	Full compliance programme review	External Regulator	Annual	Regulatory findings letter
System Integrity Review	AI query routing & data accuracy	Technology + Risk	Quarterly	Technical compliance report

■ All personnel with access to FRIIS are required to complete the annual Regulatory Compliance Training module. Completion is tracked by HR and non-compliance is reported to the Board Risk Committee within 30 days of the training deadline.

■ Synthetic educational data. Not real regulatory or legal guidance.